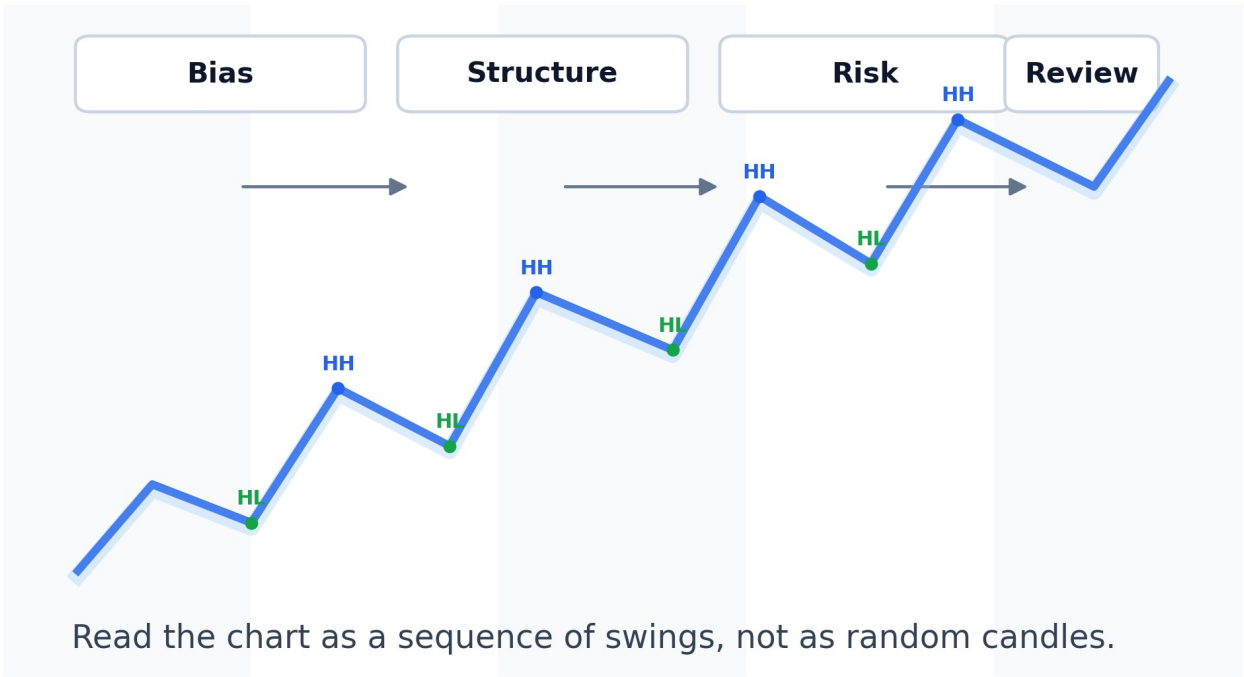


Market Structure Trading Framework

A beginner-to-expert outline for reading price, building trade logic, and managing risk



Audience Beginner, intermediate, and developing expert traders	Core focus Structure, execution, dealing range, multi-timeframe logic, and risk	Use Study, replay, backtest, and build one written playbook
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Educational outline only. This document is not financial advice.

How to use this guide

TL;DR: Read the same chart at three depths: beginner for recognition, intermediate for execution, expert for nuance.

This framework is designed to work like a ladder. Beginners should focus on recognizing structure consistently. Intermediate traders should add location, multi-timeframe context, and trade construction. Expert traders should standardize definitions, test nuance, and track performance data.

The goal is not to memorize jargon. The goal is to answer three repeatable questions on every chart: What is the larger story? Which swing is protected or likely to be targeted? What price move proves my idea wrong?

Note: Terminology note: BOS, CHoCH, MSS, strong/weak highs and lows, order blocks, fair value gaps, and dealing range language vary across trading communities. The edge comes from using one ruleset consistently—not from mixing multiple educators' labels.

At a glance

- Read higher timeframe first, then step down to the trading timeframe, setup timeframe, and execution timeframe.
- Treat structure as a sequence of swings: identify trend, range, BOS, CHoCH/MSS, and which swing is protected.
- Use location and dealing range to decide whether price is relatively expensive, cheap, or in the middle.
- Risk is a rules layer, not a feeling. The invalidation point defines the stop; the stop defines the size.
- Replay, backtest, and journal before increasing size or adding more concepts.

Quick reference by skill level

Level	Primary focus	What good looks like	Avoid
Beginner	Learn to label obvious swings and identify trend vs. range.	Read the chart consistently.	Predicting every reversal; trading every wiggle.
Intermediate	Add location, BOS/CHoCH context, and multi-timeframe alignment.	Trade fewer, cleaner setups.	Mixing timeframes or forcing trades in the middle of ranges.
Expert	Standardize hierarchy, liquidity framework, and process data.	Build a scalable playbook with measured risk.	Using advanced labels without objective rules or review data.

Executive TL;DR

- Price becomes easier to read when you reduce candles into swings. An uptrend is HH + HL; a downtrend is LH + LL; a range lacks a clean directional sequence [1][5][6].
- BOS is best treated as continuation confirmation; CHoCH/MSS is an early warning of possible change, not a promise of reversal [1][3][4].
- Strong swings tend to hold; weak swings tend to get taken. That makes them useful for both stop placement and target selection [1].
- A dealing range gives you location: where price sits between a meaningful swing high and low, with the midpoint acting as equilibrium [12].
- Higher timeframes explain the bigger story; lower timeframes refine the entry [2].

- Risk comes before opinion. The invalidation point defines the stop; the stop defines the size [7][8][9].
- Backtest, replay, and journal before increasing risk. Historical testing helps evaluate a method, but no historical result guarantees future performance [10][11].

Risk disclosure and trader safety

TL;DR: Leverage can accelerate both profits and losses. Build skill before size.

Trading leveraged products, day trading, and OTC forex carry substantial risk. Margin and leverage let traders control larger positions than their cash balance, which also means adverse moves can create larger losses than an unleveraged trade [7][8][9].

If you trade forex or other OTC products, verify the dealer or broker's registration and disciplinary history before depositing funds. U.S. regulators specifically warn traders to research firms carefully and to be cautious of unregistered offshore dealers promoted through social media or messaging apps [9].

Non-negotiable safety rules

- Use a demo, replay, or paper environment before live size.
- Risk a small, fixed amount per trade.
- Know your broker/dealer, withdrawal rules, and margin policy.
- Avoid increasing size to recover a loss.
- Stand down when you are tired, emotional, or trading around unclear news risk.

1. Core language of market structure

TL;DR: The market speaks in swings. Trend is a sequence, not a feeling.

At the simplest level, market structure is the sequence of swing highs and swing lows on a chosen timeframe. Higher highs and higher lows define bullish structure; lower highs and lower lows define bearish structure; lack of a clean sequence indicates consolidation or range conditions [1][5][6].

Support and resistance are best treated as zones where price repeatedly reacts rather than as perfect single-price lines [5][6].

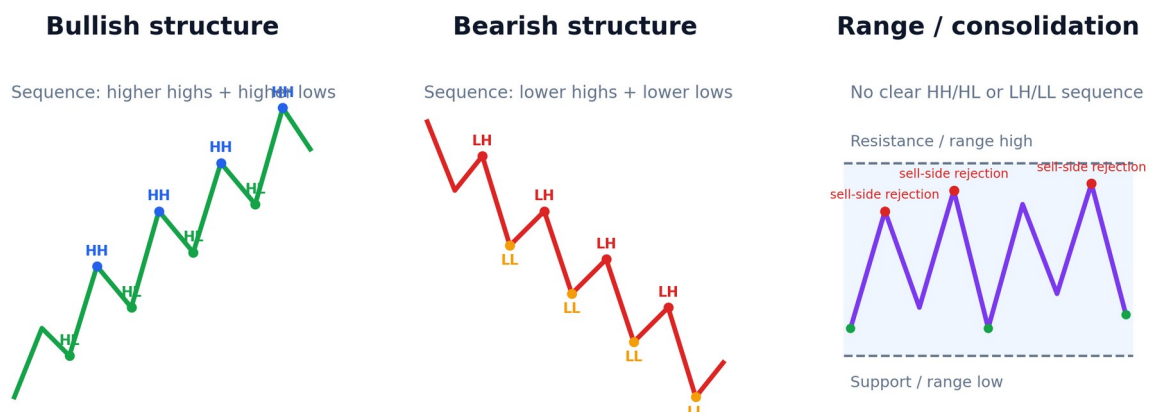


Figure 1. The three basic market states: bullish, bearish, and range.

Beginner focus

- Zoom out until the swing points look obvious.

- Mark only the peaks and troughs that caused a meaningful reaction.
- Ask one question first: trending or ranging?
- If you cannot tell, do not force a directional bias.

Intermediate layer

- Separate major swing structure from the minor rotations inside it.
- Use fewer levels and clearer structure. More lines do not create more edge.
- If the chart is messy on the execution timeframe, step up one timeframe and remap.

Expert nuance

- Treat structure as hierarchical and fractal: the same pattern can repeat inside larger legs.
- Some price-action frameworks define a swing high as the highest point that caused the swing low, and vice versa [1]. Use a single definition set consistently.
- What matters most is not the label itself, but whether your rule set identifies the same swing points every time.

Common mistakes

- Labeling every tiny candle wiggle as a structural swing.
- Calling a market trending based on only one impulsive candle.
- Using a lower timeframe to override an obvious higher-timeframe range.

Checklist before you act

- What timeframe am I mapping?
- What are the last two confirmed swing points?
- Is price trending, ranging, or transitioning?

2. Break of Structure (BOS) and pullback logic

TL;DR: BOS tells you the current trend structure is still doing its job. The break is not the whole trade; the pullback often matters more.

In many discretionary price-action frameworks, BOS describes price breaking a prior swing in the direction of the prevailing trend. Photon's mechanical notes also emphasize that after a BOS, traders should expect a pullback on that same timeframe rather than assume price will only move one-way [1].

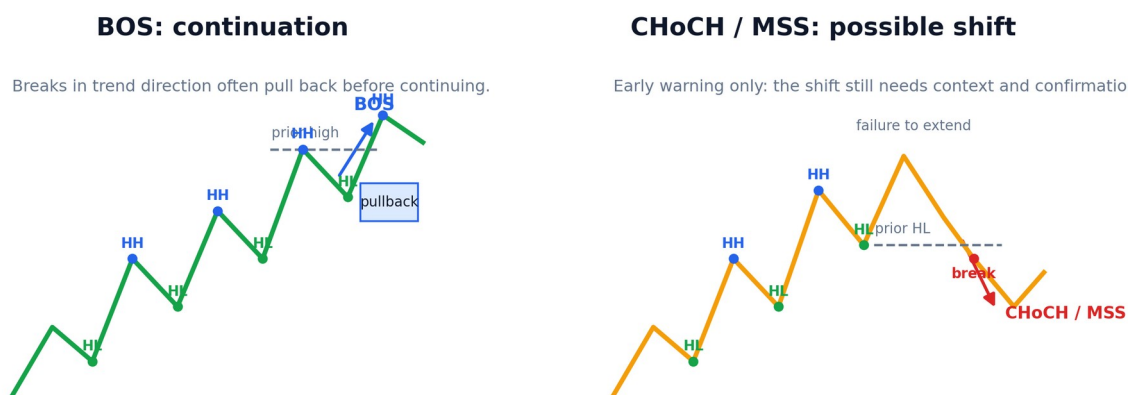


Figure 2. BOS confirms continuation; CHoCH/MSS warns of possible change.

Beginner focus

- Bullish BOS: price breaks a prior swing high during bullish structure.
- Bearish BOS: price breaks a prior swing low during bearish structure.

- Do not chase the breakout candle simply because it looks strong.
- Wait to see whether price can pull back and hold above/below the broken level.

Intermediate layer

- Prefer breaks with intent: decisive candle bodies, acceptance beyond the level, or a strong impulse away.
- Use the pullback to align entry with invalidation. The pullback gives structure; the breakout candle often gives emotion.
- Keep BOS rules specific: wick break, body close, or acceptance. Then backtest that exact definition.

Expert nuance

- Separate swing BOS from internal i-BOS. They serve different jobs.
- Judge BOS quality using context: where the break occurs in the dealing range, how fast price moves, whether the move happens in liquid session hours, and whether higher timeframes support it.
- A BOS into major higher-timeframe resistance or directly into external liquidity may have lower continuation quality than a BOS that launches from discount or from a protected swing.

Common mistakes

- Confusing a stop-run wick with a validated structural break.
- Using the same BOS rule on all instruments without testing.
- Ignoring the pullback and entering only because the breakout candle is large.

Checklist before you act

- Which exact swing was broken?
- Was the break in the direction of the current structure?
- Where is the logical pullback zone?
- What price would invalidate continuation?

3. CHoCH, MSS, and structure shifts

TL;DR: A structure shift says the prior expectation may be failing. It is a warning, not certainty.

CHoCH (Change of Character) is commonly used to describe the first meaningful violation of an established pattern of highs and lows, while MSS (Market Structure Shift) is often used in similar ways in SMC-style language [3][4]. Both aim to alert the trader that the previous trend behavior may be weakening.

Reliable shifts usually improve when combined with context such as higher-timeframe location, momentum, volume, or a clear liquidity event [3][4][5].

Beginner focus

- In an uptrend, the first warning is often failure to make a clean new HH, followed by a break below a prior HL.
- In a downtrend, the first warning is often failure to make a clean new LL, followed by a break above a prior LH.
- Do not assume every CHoCH means a full reversal. Sometimes it only marks a pullback.

Intermediate layer

- Use a higher timeframe to decide whether the lower-timeframe shift is likely a full reversal or only a correction.
- Sideways markets produce many false shifts. Trend context matters.
- If the shift happens after a sweep of an obvious weak swing, the odds of follow-through may improve.

Expert nuance

- A valid shift often looks like displacement: a sudden, intentional move that breaks structure and leaves little immediate recovery [4].

- Many advanced traders separate internal shift from swing reversal. That distinction prevents overreacting to micro structure.
- False structure shifts are common near major news, thin liquidity, and inside unresolved ranges. Use confirmation and predefined invalidation.

Common mistakes

- Calling every lower-timeframe break a trend reversal.
- Ignoring higher-timeframe draw-on-liquidity or dealing range location.
- Entering before the shift is actually confirmed by your own rules.

Checklist before you act

- Did the market violate the prior expectation?
- Is the shift happening at a meaningful location?
- Is this shift likely a pullback or a real reversal?
- What additional confirmation do I require?

4. Strong vs. weak highs and lows; confirmed vs. unconfirmed trends

TL;DR: Strong swings break structure. Weak swings fail to do so and often get taken next.

Photon's notes summarize the idea clearly: strong highs and lows break structure, while weak highs and lows fail to break structure [1]. In practical trading terms, the protected swing is the level that keeps the current directional thesis alive.

This also explains why many traders treat a higher low or lower high as unconfirmed until a BOS occurs. The pullback exists before the trend is truly validated [1].

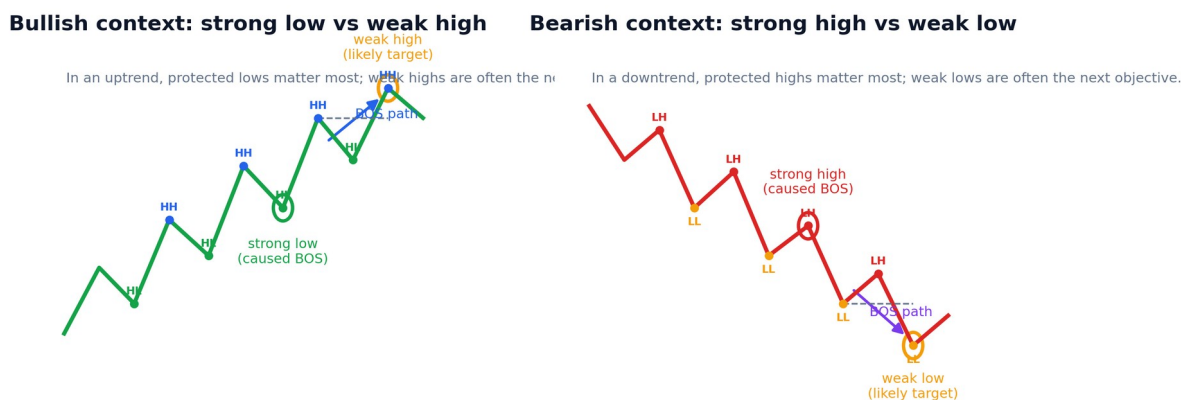


Figure 3. Strong swings help define protected structure; weak swings often become targets.

Beginner focus

- Mark the swing that actually caused the next BOS.
- In bullish structure, strong lows matter more; in bearish structure, strong highs matter more.
- Weak highs and weak lows are useful target magnets.

Intermediate layer

- Use strong/weak mapping to decide where your trade idea is protected and where price is likely drawn next.
- A bullish trade with a stop below a truly protected strong low is more coherent than a random stop under market noise.
- If price repeatedly fails to reach the expected weak target, structure strength may be fading.

Expert nuance

- Think in terms of protected highs/lows, external vs. internal liquidity, and expected order flow.
- On many charts, there is one swing that matters far more than the noise between the endpoints. Finding that protected point reduces clutter.
- Strong/weak analysis is most useful when tied to a precise timeframe. A swing can be strong on one timeframe and weak on another.

Common mistakes

- Placing stops at obvious weak points because they are visually convenient.
- Calling a swing strong without evidence that it caused a real structural break.
- Using the same protected swing on all timeframes.

Checklist before you act

- Which swing is protected?
- Which swing is likely the next target?
- Is my stop beyond a meaningful structural invalidation or just beyond noise?

5. Range, dealing range, premium, discount, and equilibrium

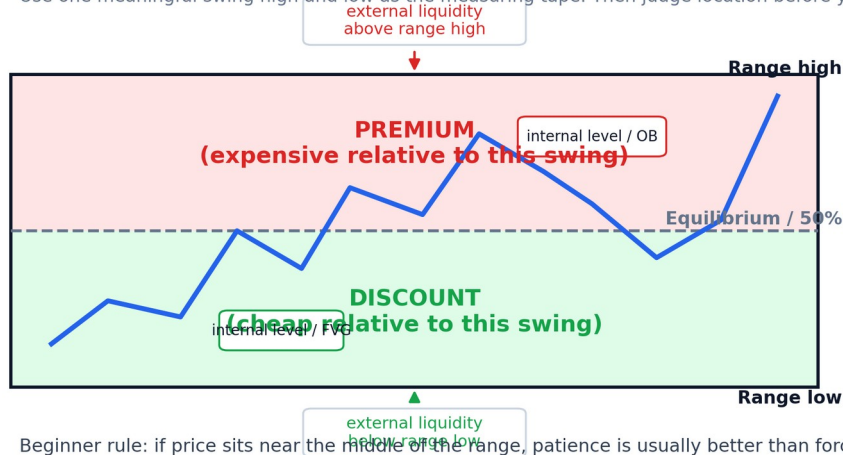
TL;DR: A dealing range is a measuring framework. It tells you where price is inside one meaningful swing.

A dealing range is commonly defined as the price span between a meaningful swing high and swing low. The midpoint (often called equilibrium or the 50% line) splits the range into premium above and discount below [12].

A key insight from dealing range work is that the framework can exist even in a trend. It is not only a sideways-market box; it is a way to judge whether price is relatively expensive or cheap inside the current swing [12].

Dealing range: high, low, equilibrium, premium, discount

Use one meaningful swing high and low as the measuring tape. Then judge location before you hunt for entries.



Beginner rule: if price sits near the middle of the range, patience is usually better than forcing a trade.

Figure 4. A dealing range turns a swing into a map: high, low, midpoint, premium, discount.

Beginner focus

- Choose one clear high and one clear low that the market obviously respected.

- Mark the midpoint. Above it is premium; below it is discount.
- If price is sitting near equilibrium, patience is often better than forcing a trade.

Intermediate layer

- In bullish context, many traders prefer hunting longs in discount; in bearish context, shorts in premium [12].
- Mark likely external liquidity above the range high and below the range low.
- Use the range to prevent emotional mistakes like buying the very top of a swing because momentum feels strong.

Expert nuance

- Internal tools such as FVGs or order blocks only become meaningful after the larger range is drawn correctly [12].
- Not every consolidation is a valid dealing range. Anchor the framework to a meaningful, respected swing rather than random chop.
- Many advanced traders read internal liquidity first and external liquidity second, using smaller ranges only when they fit the higher-timeframe story.

Common mistakes

- Drawing the range from random candles in the middle of chop.
- Buying premium or selling discount without a deliberate reason.
- Using every internal level as tradable regardless of location.

Checklist before you act

- What is the current range high, range low, and equilibrium?
- Is price in premium, discount, or the messy middle?
- What liquidity sits outside the range?

6. Multi-timeframe framework and structural hierarchy

TL;DR: Higher timeframe answers why. Lower timeframe answers where and when.

Multi-timeframe analysis starts with the larger chart to determine dominant trend or context, then steps down to a lower chart to refine entry and risk [2]. This prevents a trader from letting one small chart invent the entire market story.

A helpful hierarchy is: higher timeframe for bias, trading timeframe for swing structure, setup timeframe for internal shift, and execution timeframe for trigger.

Multi-timeframe cascade: bias -> structure -> execution

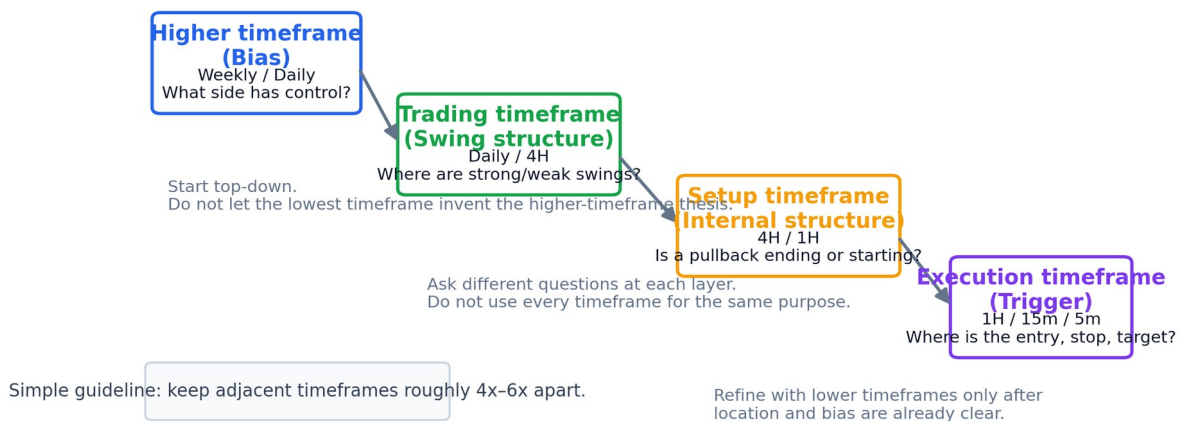


Figure 5. Higher timeframe gives bias; lower timeframe gives execution.

Beginner focus

- Use only three layers at first. Example for swing trading: Daily -> 4H -> 1H. Example for intraday: 1H -> 15m -> 5m.
- Keep adjacent timeframes roughly 4x–6x apart so they tell different parts of the story.
- Write the role of each timeframe on your chart.

Intermediate layer

- Map swing structure on the trading timeframe and internal structure on the setup timeframe.
- If the lower-timeframe idea fights higher-timeframe location, reduce size or skip.
- Use the lower timeframe to refine risk—not to invent a trade that higher timeframe does not support.

Expert nuance

- Read three levels of structure deliberately: swing, internal, and fractal [1].
- A fractal shift often appears first on the micro structure; that does not automatically change the swing thesis.
- Keep target timeframe and entry timeframe separate. One timeframe sets the objective; another times the entry.

Common mistakes

- Watching too many timeframes until bias changes every few minutes.
- Using every chart for the same question instead of different jobs.
- Forgetting which timeframe invalidates the trade.

Checklist before you act

- What is the higher-timeframe bias?
- What is the trading-timeframe structure?
- What internal setup would align with the higher-timeframe story?
- Which timeframe defines the stop and which defines the target?

7. Entry models by skill level

TL;DR: Do not skip from idea to entry. Move through context, structure, location, trigger, risk, and review.

A discretionary trade becomes more repeatable when it follows a fixed process. The same signal can be good or poor depending on its location, higher-timeframe context, and risk construction.

Repeatable trade process

The best discretionary traders turn analysis into a fixed sequence. The sequence reduces emotional improvisation.

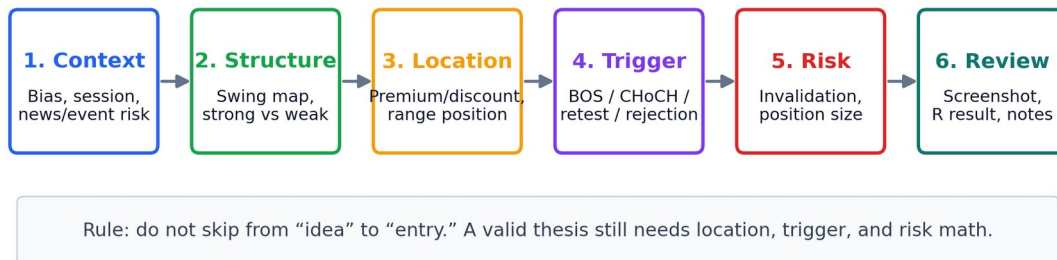


Figure 6. A trade process should move from context to review in a fixed order.

Model progression

Beginner model — trend continuation	
1	Find a clear higher-timeframe trend.
2	Wait for price to pull back toward support, a strong swing, or a prior breakout area.
3	On the setup timeframe, wait for BOS back in the trend direction.
4	Enter on retest or rejection, not because of FOMO.
5	Place stop beyond the invalidation swing.
6	Target the next weak swing or a fixed R objective.

Intermediate model — pullback completion inside the dealing range	
1	Map the higher-timeframe dealing range and bias.
2	For bullish ideas, prioritize discount; for bearish ideas, prioritize premium.
3	Wait for a lower-timeframe CHoCH followed by BOS in the intended direction.
4	Use the internal level that best matches your rules (retest, rejection, imbalance fill, etc.).
5	Take partials at equilibrium or internal liquidity if that fits your playbook.

Expert model — sweep to reversal / re-pricing

1	Identify a weak high or weak low likely to be raided.
2	Wait for the liquidity sweep and a genuine shift in internal structure.
3	Enter only after your shift rule is confirmed and price returns to an objective execution level.
4	Place stop beyond the sweep extreme or beyond the structural invalidation point.
5	Use a staged target plan: first internal objective, then the opposite side of the range or the next weak swing.

Note: Advanced execution labels such as FVG, order block, or liquidity sweep are discretionary frameworks used by many price-action / SMC traders. Treat them as hypotheses to test, not as magic words.

8. Risk management, leverage, and trade construction

TL;DR: Stop first. Size second. Opinion last.

Risk management is not a side topic. It is the operating system that keeps you alive long enough to learn. Regulators and brokerage educators repeatedly warn that leverage and margin can amplify both gains and losses, and that trading with borrowed buying power can lead to large losses very quickly [7][8][9].

Risk-first position sizing



Smaller, consistent risk protects you from the emotional and mathematical damage of oversized losses.

Figure 7. Position size should be the output of risk rules, not the starting point.

Core formulas

- Risk amount = account equity × risk %
- Position size = risk amount ÷ stop value
- R multiple = trade P/L ÷ initial risk

Beginner focus

- Use a fixed, small risk per trade. Many developing traders choose 0.25% to 1.00% of equity.

- Define a daily or weekly max loss where trading stops.
- Never widen the stop after entry unless your written plan specifically allows for it.

Intermediate layer

- Choose targets with structure: weak highs/lows, equilibrium, range edge, or measured R multiples.
- Reduce size when event risk is unusually high or when the stop must be unusually wide.
- Differentiate a planned scale-in from impulsive averaging down.

Expert nuance

- Track expectancy, maximum adverse excursion, and drawdown by playbook.
- Estimate how your size and win/loss profile affect risk of ruin or unacceptable drawdown.
- A strategy with positive expectancy can still fail if sizing is too aggressive or inconsistent.

Common mistakes

- Choosing position size first and inventing a stop later.
- Risking more after a loss to 'make it back'.
- Ignoring broker, product, or leverage specifics.

Checklist before you act

- What is the structural invalidation point?
- How much money is at risk if the stop is hit?
- What is the first target, final target, and worst-case daily loss?

9. Backtesting, journaling, and process review

TL;DR: A chart idea becomes a trading edge only after it survives testing and review.

Backtesting uses historical data to analyze how a strategy would have performed in the past. It is useful for comparing rules and stress-testing a setup, but historical outcomes do not guarantee future performance [10].

A trading journal helps you record trades, mistakes, plan adherence, and even emotions so you can improve execution instead of relying on memory [11].

Beginner focus

- Replay one setup on 50–100 historical examples before risking real money.
- Save one screenshot before entry and one after exit.
- Record: date, market, timeframe stack, setup type, entry, stop, target, result, and rule adherence.

Intermediate layer

- Tag each trade by setup family, session, and mistake type.
- Review weekly, not only after losses.
- Separate strategy failure from execution failure.

Expert nuance

- Track expectancy by playbook, time of day, volatility regime, and market type (trend/range).
- Use forward testing with small size before scaling.
- Create explicit no-trade rules for conditions that damage your edge.

Common mistakes

- Changing the strategy before there is enough sample size.
- Tracking only P/L without process notes.
- Reviewing trades only when they lose.

Suggested journal fields

Field	Why it matters
Higher-timeframe bias	Shows whether the trade aligned with the bigger story.
Protected swing / weak target	Documents the structural logic of the setup.
Location in range	Premium/discount or middle of range often explains outcome quality.
Trigger type	BOS, CHoCH, retest, rejection, sweep, etc.
Initial risk in \$ and R	Makes sizing and result analysis objective.
Emotion / execution note	Captures fear, FOMO, impatience, or hesitation.
Screenshot links	Makes review visual and specific instead of vague.

10. 90-day development roadmap

TL;DR: Progress by depth, not by speed. One clean playbook beats ten half-learned concepts.

90-day roadmap

Phase	Goals
Days 1–30 — beginner pattern recognition	- Annotate 50 charts with HH, HL, LH, LL, and ranges. - Practice using a line chart or a zigzag/fractal tool in study mode if that helps make swings clear [4]. - Do not trade live size. Learn to identify obvious structure consistently.
Days 31–60 — intermediate context and execution	- Add BOS, CHoCH/MSS, strong vs. weak swings, and dealing range location. - Run replay/backtest drills on one or two setups only. - Start building a journal and weekly review habit.
Days 61–90 — controlled deployment	- Trade only one market or one session if possible. - Use one timeframe stack and one written entry model. - Measure results in R and rule adherence, not just dollars.
After day 90 — expert pathway	- Scale only after positive expectancy and consistent rule-following. - Refine playbooks by market type, time of day, and location in the range. - Keep the process boring, objective, and reviewable.

Glossary of essential terms

TL;DR: Use this glossary to keep one definitions set consistent across chart review, testing, and execution.

Term	Working definition
Swing high	A peak that leads into a downward move.
Swing low	A trough that leads into an upward move.
HH / higher high	A new high above the previous significant high.
HL / higher low	A new low that stays above the previous significant low.
LH / lower high	A new high that stays below the previous significant high.
LL / lower low	A new low below the previous significant low.
BOS	Break of structure; often used for continuation in the direction of the prevailing trend.
CHoCH	Change of Character; early shift in behavior that may warn of reversal or pullback transition.
MSS	Market Structure Shift; a related term used in many SMC-style frameworks for a change in direction.
Strong high / low	A swing that causes a meaningful structural break and is often treated as protected.
Weak high / low	A swing that fails to cause a meaningful break and is often treated as a target.
Dealing range	The meaningful swing span between a high and a low used to measure location.
Equilibrium (EQ)	The midpoint of the dealing range, often the 50% level.
Premium	The top half of the dealing range; relatively expensive location.
Discount	The bottom half of the dealing range; relatively cheap location.
Liquidity	Orders resting in the market, often clustered around obvious highs, lows, and stops.
Displacement	A sharp, fast move that shows strong intent and often accompanies a real shift.
Order block (advanced)	A community-specific SMC term for a last opposing candle or small zone before an impulsive move.
Fair Value Gap / FVG (advanced)	A community-specific term for a three-candle imbalance that price may later revisit.

Final trading rules worth remembering

TL;DR: The trader who survives long enough to review good data has a chance to improve. The trader who oversizes rarely gets that chance.

- Trade the map, not the excitement.
- Use one definitions set consistently.
- Higher timeframe sets the story; lower timeframe times the entry.
- Never let advanced jargon replace objective risk management.
- If you cannot explain the stop, you do not yet have a trade.
- If you cannot journal the trade, you cannot improve it.

References and further study

Key ideas in this guide are drawn from the sources below and from generalized trading best practices. Use them to deepen your own definitions, replay work, and risk rules.

[1] [Photon Trading FX — Mechanical Market Structure](#) — Definitions for swing highs/lows, BOS, strong vs. weak highs/lows, and three levels of structure.

[2] [Photon Trading FX — MTF Analysis: Mastering Multi-Time Frame Analysis](#) — Higher timeframes for bias, lower timeframes for execution.

[3] [Photon Trading FX — What Is CHoCH in Trading?](#) — CHoCH as a potential reversal signal that requires confirmation.

[4] [ATAS — Understanding Market Structure and Market Structure Shift \(MSS\)](#) — MSS, liquidity context, practice with replay, and risks of subjective interpretation.

[5] [Equiti — Market structure: how to read it correctly](#) — Trends, swings, consolidation, and structure shifts.

[6] [Charles Schwab — How to Read Stock Charts and Trading Patterns](#) — HH/HL and LH/LL basics, support/resistance as zones, need for confirmation.

[7] [Charles Schwab — Understanding Margin and Leverage in Trading](#) — Margin and leverage can magnify both gains and losses.

[8] [U.S. SEC — Day Trading: Your Dollars at Risk](#) — Day trading is demanding and borrowing to trade is risky.

[9] [U.S. CFTC — Customer Advisory: Eight Things You Should Know Before Trading Forex](#) — Verify dealer registration, beware unregistered offshore firms, leverage and margin risks.

[10] [IG — What Is Backtesting? How to Backtest a Trading Strategy](#) — Backtesting with historical data helps evaluate a strategy but does not guarantee future behavior.

[11] [Axi — What Is a Trading Journal and How Do Traders Use It?](#) — Journaling helps track performance, mistakes, plan adherence, and emotions.

[12] [Aron Groups — A Trader's Guide to ICT Dealing Range and Market Structure](#) — Dealing range, equilibrium, premium/discount, internal vs. external liquidity.